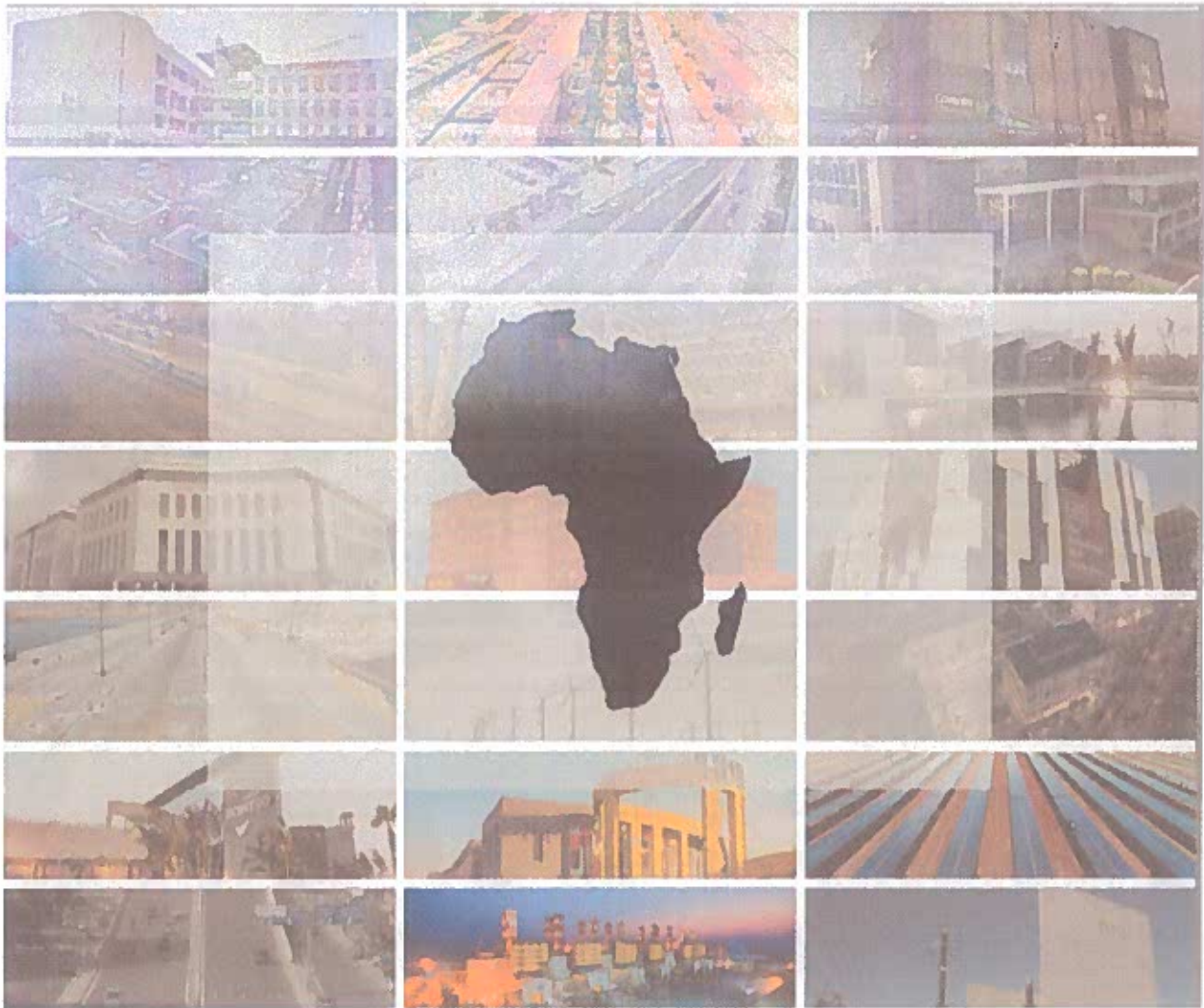




ROWAD
MODERN ENGINEERING

Vendor selection and Bidding Process

P-VMO-01

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May, 2024

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1. OBJECTIVES

The objectives are to describe the Vendor selection procedure and how to deal with Vendor through bidding procedures, achieving project goals such as time, cost, and quality and to maintain company legal, financial, and quality policies.

2. STAKHOLDER

- Site team
- PM
- Operation Department
- Projects Control Department
- VMO
- Top Management

3. LIABLE STAKEHOLDER

- CEO
- COO
- Vice President
- Operation Department
- Projects Control Department
- PM
- VMO

4. TERMS AND DEFINITION

- **COO:** Chief Operations Officer
- **CEO:** Chief Executive Officer
- **OPM:** Operation Manager
- **PM:** Project Manager
- **TOM:** Technical Office Manager
- **HoD:** Head of Department
- **VMO:** Vendor Management Office (Procurement MEP/Civil/Arch, Purchasing) – Responsibility related to supply materials and/or supply and apply works.
- **Operation Department:** Responsibility related to apply works.
- **CS:** Comparison Sheet
- **RFQ:** Request for Quotation
- **HO-TO:** Head-Office Technical Office

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- **Vendor:** Subcontractors/supplier/service provider
- **Committee Members:** Technical Office, VMO HoD, Finance & COO or their representatives/deputies.

5. RELATED DOCUMENTED INFORMATION

- SC Agreement Signature Matrix, F-P-CN-01-11
- Supply Apply Subcontract Template (Less than 500K), F-P-CN-01-14
- Supply Apply Subcontract Template (500K-2M), F-P-CN-01-15
- Supply Apply Subcontract Template (More than 2M), F-P-CN-01-16
- Supply Only Subcontract Template, F-P-CN-01-17
- Formwork Comparison Sheet, F-P-FW-01-27
- Consumable Comparison Sheet, F-P-PU-01-05
- Minutes of Meeting, F-P-QD-06-02
- Internal Memo, F-P-QD-06-03
- Attendance Sheet, F-PQP-01-15
- Scope of Work (Procurement), F-P-TN-02-01
- Scope of Work (Purchasing), F-P-TN-02-02
- Scope of Work (MEP), F-P-TN-02-03
- Project Sourcing Strategy, F-P-TN-02-05
- Sourcing Plan, F-P-TN-01-07
- Request for Quotation (RFQ), F-P-VMO-01-01
- Supply Engineering Material - Comparison Sheet (CS), F-P-VMO-01-02
- Apply-Service Provider Operation - Comparison Sheet (CS), F-P-VMO-01-03
- Procurement Comparison Sheet Signature Matrix, F-P-VMO-01-07
- Supply-Apply Comparison Sheet, F-P-VMO-01-08

6. PROCESS DETAILS

6.1. PROCESS INPUT

- Project sourcing strategy
- Project documents
- Signed client contract

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6.2. PROCESS OPERATION

Sr.	Process Cycle description	Responsibility	Form
1	I. Defining VM Strategy Refer to Project Launching process (P-TN-02), VMO shall implement the confirmed project sourcing strategy.	VMO	Project Sourcing Strategy F-P-TN-02-05
2	VMO shall assign the responsible team to study the project documents, and the selection will be based on: - Teamwork Load - Project Weight - Project Type & Duration	VMO	
3	VMO/Operation coordinator shall check the received tender documents and will contact the PM if there is any missing data. VMO/Operation coordinator shall prepare vendor shortlist which will include vendors from: - Contract Vendor list, if presents - Vendors contacted during tendering stage - Updated Rowad's vendor list - Nominated vendor if any	VMO/Operation Coordinator	Vendor List
4	VMO/Operation HoDs shall verify and ensure that company policies, and customer requirements are met.	VMO/Operation HoDs	
5	Projects Control Department shall issue a high-level schedule Rev.00 and procurement plan (Civil & MEP), then distribute to PM. Refer to Planning & Cost Control Process (P-PC-01).	Projects Control	
6	VMO/Operation shall join the operation coordination meetings with the PM to discuss and review the following Refer (Project Launching process, P-TN-02): - Tender Sourcing strategy - Scope of work - Way of acquisition - Proposed Vendor list - Preparation of Sourcing Plan - Critical packages (required closed bidding assessed by the committee)	VMO HoDs PM Operation	MOM F-P-QD-06-02 Scope of Work F-P-TN-02-01 F-P-TN-02-02 F-P-TN-02-03 Tender Sourcing Strategy F-P-TN-02-04 Sourcing Plan F-P-TN-01-07
7	VMO/Operation coordinator shall upload the project's documents folder on the SharePoint following the e-filling system.	VMO/Operation Coordinator	Project e-Filling Matrix F-P-QD-08-04

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8	VMO coordinator shall prepare the following documents within 7 days from Tender Handover Meeting: - Itemized budget material list along with the delivery duration - Project Sourcing strategy - Scope of work Upon finalizing the above, Projects Control prepare the "Sourcing plan" complying with the planning dates as per the initial project schedule, confirmed by the Operation department. Refer to Planning & Cost Control Process (P-PC-01).	VMO Coordinator Projects Control Operation	Sourcing plan F-P-TN-01-07
9	<u>Bidding procedures (Not applicable for consumable items)</u> VMO engineer shall prepare for budgeted items: (Supply & Apply and/or Supply only) - RFQ to include all available documents, not limited to: - Drawings - Specs - Blank BOQ - Draft contract (Mandatory) - Tech. compliance sheet - Schedule - Define any added or omitted item. VMO Team leader shall review and amend, if needed. Operation engineer shall prepare: (Apply Works Only) - RFQ to include all available documents, not limited to: - Drawings - Specs - Blank BOQ - Draft contract (Mandatory) - Tech. compliance sheet, if applicable	VMO Engineer Team Leader Operation Engineer	RFQ F-P-VMO-01-01
10	VMO/Operation engineer shall send the RFQ (if needed) with the related specification and definitive Scope of Work to all selected Vendors. VMO Engineer shall frequently update the RFQ during bidding phase in case of any changes. VMO/Operation engineer shall review separately the technical and Commercial offers, received from vendors, and shall obtain any missing data or conditions.	VMO/Operation Engineer Committee	RFQ F-P-VMO-01-01

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	Refer to RFQ form. For critical cases, Commercial offers are restricted and can only be accessed by the committee on a specific date defined by the COO. Whereas, the critical cases will be defined in the project execution plan and during the Operation coordination meeting. Committee Members or their representatives/deputies to discuss the commercial closed offer for final decision.		
11	VMO/Operation engineer prepares technical and commercial comparison, with minimum of 3 quotations including payment conditions and any special requirements, demonstrating the tender vendor selection, along with the defined budget.	VMO/ Operation Engineer	Supply Engineering Material - Comparison Sheet F-P-VMO-01-02 Apply-Service Provider Operation - Comparison Sheet F-P-VMO-01-03 Supply-Apply Comparison Sheet F-P-VMO-01-08 Formwork Comparison Sheet F-P-FW-01-27
12	VMO/Operation Team leader shall review the technical compliance & price comparison, assuring full compliance with the project specifications.	VMO / Operation Team Leader	
13	Projects Control Department's representative shall review the comparison sheet to confirm the compliance with the final project budget and duration.	Projects Control	Supply Engineering Material - Comparison Sheet F-P-VMO-01-02 Apply-Service Provider Operation - Comparison Sheet F-P-VMO-01-03 Supply-Apply Comparison Sheet F-P-VMO-01-08 Formwork Comparison Sheet F-P-FW-01-27

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14	VMO/HO-TO shall finally approve the comparison sheet and the selected Vendor. Refer to the CS Signature Matrix. (F-P-VMO-01-07/ F-P-VMO-02-01)	VMO/HO-TO	Procurement Comparison Sheet Signature Matrix F-P-VMO-01-07 Procurement Approval Authority Matrix F-P-VMO-02-01
15	In case of addendum or a new contract for items not mentioned in the budget, considered as a variation. Comparison sheet shall be prepared by VMO showing it is a variation and send it to HO-TO to study the case in terms of: - Merit or not - Internal form issuance - S/C payment status Then follow CS signature matrix after VMO/HO-TO approval.	VMO/HO-TO Contracts	Procurement Comparison Sheet Signature Matrix F-P-VMO-01-07 Procurement Approval Authority Matrix F-P-VMO-02-01
16	VMO: In case of (Supply & Apply Subcontracts) HO-TO: In case of (Apply Subcontracts only) Subcontracts shall follow the Subcontract Agreement Process (P-CN-01) & SC Agreement Signature Matrix (F-P-CN-01-11) Then Proceeding with Top management's approval.	VMO HO-TO Contracts	SC Agreement Signature Matrix F-P-CN-01-11
17	In January of each year, the CEO shall issue an internal memo to determine the limit of the agreement value for approval and signature. Refer to the Subcontract Agreement Signature Matrix (F-P-CN-01-11) Agreement that exceeds this value shall require the approval and signature of the COO, VP and/or CEO.	COO VP CEO	Internal Memo F-P-QD-06-03 SC Agreement Signature Matrix F-P-CN-01-11

6.3. PROCESS OUTPUT

- Vendor shortlist
- Itemized budget material list
- Sourcing plan
- Approved comparison with vendor selection.
- Subcontract agreement

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7. PROCESS RISK ASSESSMENT

- Included in the Risk register form no. F-P-QD-05-01 “Risk Identification and assessment” maintained by HOD to address risks and opportunities”

8. PROCESS CONTROL

- Projects control department shall review and approve the CS with the project budget.
- VMO HODs shall review and approve the followings:
 - Sourcing Plan
 - Comparison sheets

9. PERFORMANCE MEASURE

The VMO HODs shall measure the Percentage of cost-saving from the approved budget, if applicable.

10. DOCUMENT CHANGE HISTORY

No.	Revision Level	Description of Changes	Effective Date
1	00	Major Changes due to transition from ISO 9001:2008 to 9001:2015	01/12/016
2	01	Major changes	17/08/2021
3	02	Point 9: (Draft Contact Mandatory) Points 5, 8, 14, 15 & 16	May, 2024

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